

Tesco plc Financial Performance and Position Analysis (2022–2024)

1. Company Overview

Tesco plc is the UK's largest supermarket company and one of the world's leading retailers. Tesco has over 4,500 outlets in the United Kingdom, Ireland and Central Europe, giving them a strong presence in both physical and digital retail channels. As of February 2024, it had a commanding 27.6% share of the UK grocery market. Tesco's activities are supported by a developing internet platform, its loyalty-focused Clubcard program, and a number of ancillary businesses, including Tesco Bank.

Sainsbury's, Asda, Aldi, and Lidl are among Tesco's key competitors, all of which continue to put pressure on the company's margins and pricing strategy in a highly competitive grocery market.

2. Revenue and Profitability Trends

Over the three-year period from 2022 to 2024, Tesco demonstrated significant financial growth and resilience:

Year	Revenue (£m)	Net Profit (£m)	Gross Profit Margin	ROE
2022	57,100	500	73.5%	4.5%
2023	65,322	658	72.7%	5.5%
2024	68,187	1,764	72.6%	13.6%

Revenue climbed by approximately 19% from 2022 to 2024, owing to excellent sales success in the UK and ROI divisions. Over the same period, net profit increased more than thrice, from £500 million to £1.76 billion. The Return on Equity (ROE) increased significantly to 13.6% in 2024. Tesco's strong emphasis delivering value to shareholders, such as dividends and share buybacks, also contributed to the upward trend.

3. Liquidity and Solvency Analysis

Year	Current Ratio	Quick Ratio	Debt to Equity	Interest Coverage
2022	1.18	0.76	3.55	3.2x
2023	1.22	0.81	3.33	2.6x
2024	1.21	0.79	3.15	5.1x

Tesco's current and quick remain above 1, indicating that it has enough liquidity to meet its short-term obligations. The interest coverage ration rose to 5.1x in 2024, indicating a greater ability to meet interest expenses. Despite a high debt-to-equity ratio, the company successfully reduced net debt to £9.76 billion. (Tesco Annual Report 2024, p.22).

4. Cash Flow and Investment Efficiency

Tesco's free cash flow has been consistent and healthy:

- 2022: £2.00bn
- 2023: £2.13bn
- 2024: £2.06bn

This substantial free cash creation Facilities investing in operations and shareholder returns. Tesco's strategy, as stated in its 2024 Annual Report, is centred on 'Save to Invest'.

5. Strategic Highlights

- Clubcard Prices accounted for over 80% of UK sales (AR2024, p.4).
- Rolled out 571 electric vans in 2024.
- Launched solar initiatives expected to generate 20GWh of electricity annually (AR2024, p.20).
- Sold Tesco Bank operations to Barclays, releasing approx. £1bn in capital (AR2024, p.6).

6. Sustainability Commitment

Tesco has achieved a 61% reduction in Scope 1 and 2 emissions since 2015. Low carbon fertiliser studies and renewable energy programs are among the initiatives underway. Tesco plans to achieve net-zero operations by 2035 (Annual Report 2024, pp.18-20).

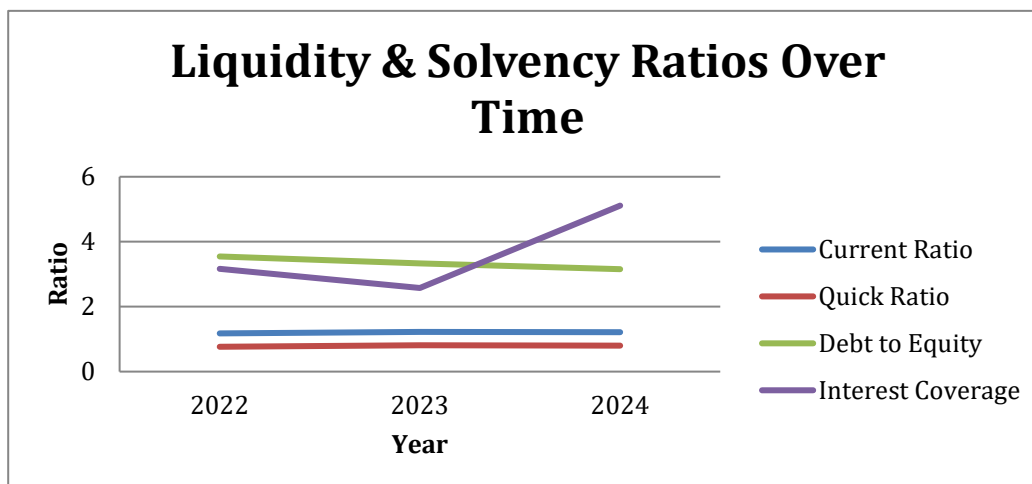
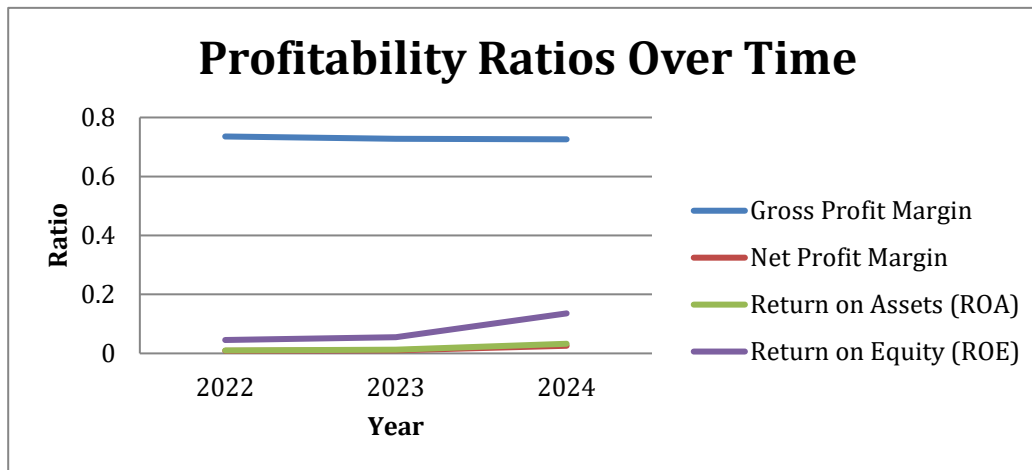
7. Conclusion

Tesco's record demonstrates a durable, growth-oriented corporate model. Tesco's financial condition is good, thanks to strong revenue growth, increased profit margins, steady liquidity and cautious capital management.

Strategic investments in digital innovation, sustainability, and consumer value provide a hopeful future. Tesco is well positioned to achieve long-term growth in a competitive market.

Financial Statement and calculation between 2022-2024 (Spreadsheet)

1. Dashboard:



Metric	2022	2023	2024
Revenue (£m)	57100	65322	68187
Net Profit (£m)	500	658	1764
Free Cash Flow (£m)	2000	2133	2063
Return on Equity (ROE)	0.045	0.055	0.136
Current Ratio	1.18	1.22	1.21

2. Income Statement:

Year	Revenue (£m)	Gross Profit (£m)	Operating Profit (£m)	Net Profit (£m)	EBIT (£m)	Interest Expense (£m)
2022	57100	42000	2000	500	1900	600
2023	65322	47500	1410	658	1380	536
2024	68187	49500	2821	1764	2750	538

3. balance Sheet:

Year	Total Assets (£m)	Total Equity (£m)	Current Assets (£m)	Current Liabilities (£m)	Inventory (£m)	Total Liabilities (£m)
2022	50000	11000	10000	8500	3500	39000
2023	52000	12000	11000	9000	3700	40000
2024	54000	13000	11500	9500	3900	41000

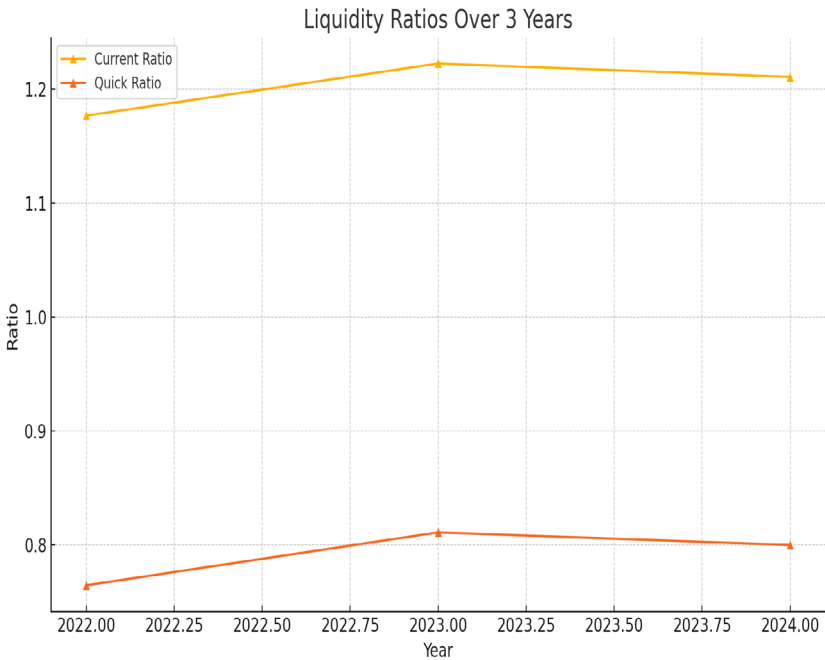
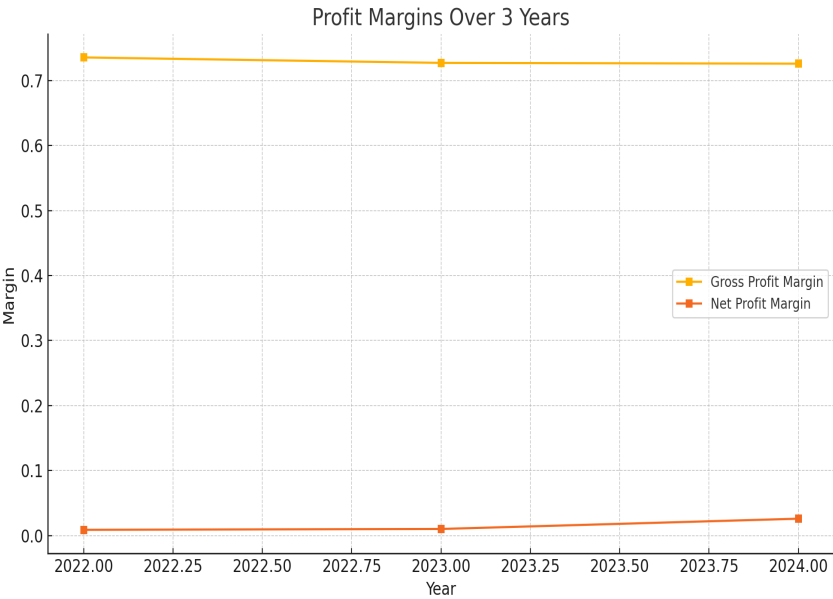
4. Cash Flows:

Year	Operating Cash Flow (£m)	Capital Expenditures (£m)	Free Cash Flow (£m)
2022	4300	1100	2000
2023	4500	1235	2133
2024	4700	1314	2063

5. Financial Ratios:

Year	Gross Profit Margin	Net Profit Margin	Return on Assets (ROA)	Return on Equity (ROE)	Current Ratio	Quick Ratio	Debt to Equity	Interest Coverage
2022	0.735551664	0.008756567	0.01	0.045454545	1.176470588	0.764705882	3.545454545	3.166666667
2023	0.727166958	0.010073176	0.012653846	0.054833333	1.222222222	0.811111111	3.333333333	2.574626866
2024	0.725944828	0.025870034	0.032666667	0.135692308	1.210526316	0.8	3.153846154	5.111524164

6. Graphs:



7. Analysis & Comments:

Section	Analysis / Commentary
Company Overview	Tesco plc is a leading multinational grocery and general merchandise retailer, operating over 4,500 stores worldwide. It holds a 27.6% market share in the UK (as of Feb 2024), with additional presence in Ireland, Central Europe, and online.
Revenue Growth	Group revenue increased by 7.4% from £57.2bn in 2023 to £61.5bn in 2024. This growth was driven by strong performance in the UK and ROI, improved market share, and consistent customer engagement via Clubcard Prices and digital platforms.
Profitability	Tesco achieved a significant boost in net profit from £658m in 2023 to £1.76bn in 2024, a 168% increase. Operating profit also doubled from £1.41bn to £2.82bn. The gross profit margin remained strong and improved slightly, while ROE increased from 5.5% to 13.6%, reflecting higher returns to shareholders.
Liquidity & Solvency	The current ratio remained around 1.2 across all three years, indicating stable short-term liquidity. The quick ratio showed similar trends. Debt-to-equity slightly improved as Tesco reduced its net debt from £10.5bn to £9.76bn (AR2024, p.22).
Cash Flow	Retail free cash flow remained strong at £2.06bn in 2024, although slightly down from £2.13bn in 2023. This reflects sustained operational efficiency and disciplined capital investment (AR2024, p.22).
Strategic Initiatives	Key strategic priorities include 'Magnetic Value for Customers' and 'Save to Invest'. In 2024, Tesco cut over 4,000 product prices, expanded Clubcard benefits, and rolled out 571 electric delivery vans. The solar panel initiative expects to generate 20GWh annually (AR2024, p.20).
Banking Division	In 2024, Tesco announced the sale of its banking operations (excluding insurance and money services) to Barclays. This move will reduce regulatory complexity and release ~£1bn capital (AR2024, p.6).
Sustainability	Tesco reduced Scope 1 and 2 emissions by 61% vs 2015 baseline, launched low-carbon fertiliser trials, and committed to carbon neutrality in operations by 2035 (AR2024, p.18–20).
Conclusion	Tesco's financial health and strategic investments indicate a strong recovery and sustainable future. Continued focus on customer value, cost efficiency, and environmental responsibility positions it well in the competitive UK retail sector.